

Options & Futures Basics

Calls, puts, strike prices, expiration, and futures contracts explained in plain English.

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Options and futures are powerful financial instruments that allow traders to participate in price movements with leverage, hedge existing positions, and express more nuanced market views than simple stock ownership allows. Understanding how they work before using them is not optional — these instruments can lose value in ways that shares cannot, and they can do so very quickly.

CONCEPT 1

What a Call Option Is

A call option is a contract that gives you the right — but not the obligation — to purchase 100 shares of a specific stock at a predetermined price (the strike price) before a specific date (the expiration date). You pay a premium upfront for this right. If the stock price rises above the strike price before expiration, your call gains value. If the stock falls, stays flat, or does not move enough above the strike, your call loses value and can expire completely worthless.

CONCEPT 2

What a Put Option Is

A put option is a contract that gives you the right — but not the obligation — to sell 100 shares at the strike price before expiration. Put options gain value when the stock falls. Traders use puts to profit from declining stocks, to hedge long stock positions against downside risk, or to express a bearish view with defined maximum loss (the premium paid).

CONCEPT 3

Strike Price

The strike price is the price at which you have the right to buy (call) or sell (put) the underlying shares. When you buy a call with a \$50 strike, you have the right to purchase 100 shares at \$50 per share regardless of what the market price is. If the stock is at \$60, your call has \$10 of intrinsic value (it is \$10 in-the-money). If the stock is at \$45, your call has no intrinsic value (it is out-of-the-money) and only time value remaining.

CONCEPT 4

Expiration and Time

Every option has an expiration date — the date by which the contract ceases to exist. Options with more time to expiration cost more because there is more time for the stock to move in your direction. Options with less time to expiration are cheaper but require the move to happen quickly. Weekly options expire every Friday. Monthly options expire on the third Friday of each month. LEAPS (Long-term Equity Anticipation Securities) expire one to three years in the future.

CONCEPT 5

Intrinsic Value vs Time Value

An option's price (premium) consists of two components. Intrinsic value is the amount by which the option is in-the-money — it reflects the guaranteed profit if the option were exercised right now. Time value is the additional premium paid for the possibility that the option will become more valuable before expiration. As expiration approaches, time value erodes (theta decay). On expiration day, an option is worth only its intrinsic value.

Futures Contracts — ES and NQ

A futures contract is a standardized agreement to buy or sell an asset at a predetermined price on a specified future date. The ES (E-mini S&P 500) and NQ (E-mini Nasdaq 100) futures are the most actively traded futures contracts among active traders. Each ES point is worth \$50 per contract. Each NQ point is worth \$20 per contract. Traders watch pre-market futures levels to gauge market sentiment and identify potential gap directions before the equity market opens.

CALLS VS PUTS — COMPLETE COMPARISON

FEATURE	CALL OPTION	PUT OPTION
Your right	To buy 100 shares at the strike price	To sell 100 shares at the strike price
You profit when	Stock price rises significantly above strike	Stock price falls significantly below strike
You lose when	Stock falls, stays flat, or rises only slightly	Stock rises, stays flat, or falls only slightly
Maximum loss	The premium paid (known upfront)	The premium paid (known upfront)
Maximum gain	Theoretically unlimited (stock can rise forever)	Strike price minus premium (stock can go to zero)
Breakeven price	Strike price plus premium paid	Strike price minus premium paid
In-the-money when	Stock price is above the strike price	Stock price is below the strike price
Out-of-the-money when	Stock price is below the strike price	Stock price is above the strike price
Common uses	Bullish directional trade, upside leverage	Bearish directional trade, portfolio hedge

OPTIONS VS STOCKS VS FUTURES — KEY DIFFERENCES

FEATURE	STOCKS	OPTIONS	FUTURES
Capital required	Full purchase price	Premium only (fraction of stock value)	Margin deposit (fraction of contract value)
Leverage	None (or 2x with margin account)	High — controls 100 shares per contract	Very high — can control \$250,000+ of assets
Maximum loss	Full investment (stock going to zero)	Premium paid — no more, no less	Can significantly exceed investment
Expiration	None — you can hold indefinitely	Fixed expiration date — can expire worthless	Fixed expiration date
Time decay	None	Yes — theta erodes value daily	Minimal
Complexity	Low	Moderate to high	High
Best for	Long-term investing, simple directional bets	Defined-risk directional trades, hedging	Index and commodity speculation, hedging

TST CORE PRINCIPLE

Never buy options right before an earnings announcement without fully understanding implied volatility and IV crush. When a company reports earnings, implied volatility typically collapses dramatically immediately afterward — regardless of which direction the stock moves. Your call option can lose significant value even if the stock gaps up exactly as you expected, simply because the volatility premium you paid to hold through earnings evaporated. This is one of the most common and most expensive beginner options mistakes.

